

THE FORTNIGHTLY DIGEST

01 – 15

MAY
2026

Housing Finance *Intelligence.*

IN THIS EDITION

Mortgage pricing held competitive through early May, with leading HFCs advertising home-loan rates from ~7.15% and limited near-term repricing in sight. Softer corporate bond yields opened a ₹15,000 cr NBFC issuance window — skewed short — while **Shubham Housing** began talks for a ₹2,000 cr IPO. The RBI stayed active on both fronts: cancelling NBFC registrations after surrender, and penalising **YES Bank** and **Hinduja Housing**. Across peers, Q4 print was broadly constructive; capital flowed, boards refreshed, and the C-suite churned.

— STRATEGY & MARKET INTELLIGENCE DESK

CONTENTS

01	At a Glance	02
02	Industry Pulse	03
03	Regulatory Watch	04
04	Competitor · Growth & Strategy	05
05	Competitor · Funding & Capital	06
06	Competitor · Risk & Governance	07
07	Competitor · Operational Signals	08
08	Key Takeaways	09

9 PAGES · ~7 MIN READ

The fortnight, in three frames.

A scannable read across the three vectors this digest tracks. Detail follows in the body of the report.

01 Industry

Leading HFCs advertised home-loan rates starting around **7.15%** in May 2026, with limited near-term repricing visible.

Corporate debt yields eased, prompting NBFCs to plan about **₹15,000 crore** of debt issuance, skewed toward shorter tenors.

Shubham Housing Finance initiated talks for an IPO of about **₹2,000 crore** amid improved valuations and funding conditions.

02 Regulatory

RBI cancelled NBFC/CIC registrations after surrender applications.

The compliant universe of regulated entities narrows, increasing due-diligence expectations on group structures, related-party exposures, and regulated-perimeter clarity for lenders.

RBI imposed penalties on YES Bank and Hinduja Housing Finance.

Enforcement actions raise the bar for compliance controls across lenders and can trigger tighter supervisory reviews, especially around governance and customer-facing processes.

03 Competitor

LIC Housing Finance

Reported Q4 net profit of **₹1,497 cr**, up 9.4% YoY, and recommended a ₹10 dividend for FY26.

Aditya Birla Housing Finance

Aditya Birla Capital reported Q4FY26 consolidated net profit of **₹1,129 cr**, up 31% YoY, including ABHFL.

Indiabulls Housing Finance

Completed IHC PJSC's investment and open offer, making IHC the promoter and controlling shareholder.

Pricing stays tight. Funding loosens, briefly.

Mortgage pricing stayed competitive in early May, with leading HFCs advertising home-loan rates starting around 7.15% and limited near-term repricing. Softer corporate bond yields supported renewed NBFC issuance plans, while profitability remained aided by lower credit costs and steady affordable-housing demand.

◆ PRICING

01

Leading HFCs advertised home-loan rates starting around 7.15% in May

Leading HFCs advertised home-loan rates starting around 7.15% in May 2026, with limited near-term repricing visible.

IMPACT

Tight pricing caps near-term NIM expansion for lenders and increases the need to protect spreads through mix, fees, and operating efficiency.

WHY IT MATTERS

Leadership teams should stress-test growth plans under flat-rate scenarios and sharpen risk-based pricing to avoid adverse selection in competitive segments.

◆ FUNDING

02

Corporate debt yields eased

Corporate debt yields eased, prompting NBFCs to plan about ₹15,000 crore of debt issuance, skewed toward shorter tenors.

IMPACT

Lower funding costs can support incremental disbursement growth, but shorter tenor borrowing raises refinancing frequency and ALM management intensity.

WHY IT MATTERS

Treasury teams should lock in diversified funding lines and pre-fund maturities to reduce rollover risk if yields reverse.

◆ CAPITAL MARKETS

03

Shubham Housing Finance initiated talks for an IPO of about ₹2,000 cr

Shubham Housing Finance initiated talks for an IPO of about ₹2,000 crore amid improved valuations and funding conditions.

IMPACT

A successful listing could reset valuation benchmarks for specialised affordable HFCs and broaden equity funding options for the segment.

WHY IT MATTERS

Competitors should prepare for heightened investor scrutiny on asset quality, unit economics, and governance disclosures as public-market windows reopen.

RBI keeps the perimeter tight.

A live supervisory posture — cancellations on one side, penalties on the other. Read these together: the regulator is closing exits cleanly and raising the cost of operational drift.

◆ SUPERVISORY ACTION

01

RBI cancelled NBFC/CIC registrations after surrender applications

RBI accepted surrender applications and cancelled registration certificates for certain NBFCs and core investment companies, including **RR Holdings** and **Anjali Capfin**.

IMPACT

The compliant universe of regulated entities narrows, increasing due-diligence expectations on group structures, related-party exposures, and regulated-perimeter clarity for lenders.

WHY IT MATTERS

HFC leadership should review group entities and counterparties for regulatory status and ensure any restructuring or exits are executed without creating compliance gaps.

NARRATIVE *Reflects an active supervisory posture. Institutions should map this to compliance execution, disclosure quality, and funding strategy.*

◆ ENFORCEMENT

02

RBI imposed penalties on YES Bank and Hinduja Housing Finance

RBI imposed penalties on **YES Bank** and **Hinduja Housing Finance** for regulatory non-compliance.

IMPACT

Enforcement actions raise the bar for compliance controls across lenders and can trigger tighter supervisory reviews, especially around governance and customer-facing processes.

WHY IT MATTERS

Senior management should prioritise control testing, closure of audit observations, and proactive regulator engagement to reduce penalty and reputation risk.

NARRATIVE *Reflects an active supervisory posture. Institutions should map this to compliance execution, disclosure quality, and funding strategy.*

Earnings hold up. Growth guidance gets bolder.

Q4 prints from peers were constructive; provisions are easing, dividends are back on the table, and the most distribution-led peers are guiding to 20%+ AUM growth.

LIC Housing Finance

EARNINGS

Reported Q4 net profit of ₹1,497 cr, up 9.4% YoY, and recommended a ₹10 dividend for FY26.

Lower provisions supported earnings momentum, giving the company room to balance shareholder payouts with growth investments. Peers will watch whether credit-cost normalisation changes pricing aggression in prime home loans.

Aditya Birla Housing Finance

EARNINGS

Aditya Birla Capital Q4FY26 consolidated net profit ₹1,129 cr, up 31% YoY, including ABHFL.

Stronger group profitability can improve funding access and cross-sell capacity for the housing finance business. Competitors should track whether the group leans into secured retail growth versus other lending verticals.

Cholamandalam Investment & Finance

GUIDANCE

Guided for 20–23% AUM growth in FY27 and reported Q1 2026 disbursements up 25% YoY.

Sustained growth guidance signals continued appetite for secured retail expansion and distribution-led scaling. This can intensify competition for salaried and self-employed borrowers where underwriting speed and branch productivity matter.

A wave of NCD allotments. One control change closes.

Most peers tapped the bond market in the fortnight. Indiabulls completed its control transition to IHC, reshaping its strategic posture for the cycle ahead.

Indiabulls Housing Finance

CONTROL CHANGE

Completed International Holding Company PJSC's investment and open offer — IHC is now promoter and controlling shareholder.

A new controlling shareholder can reshape funding access, risk appetite, and strategic priorities, including portfolio mix and liability diversification. The market will monitor governance continuity and any changes in capital allocation toward growth or balance-sheet repair.

Indiabulls Housing Finance

DEBT SERVICING

Certified timely interest payment on privately placed NCDs.

Regular servicing supports market confidence in its liability management and can help maintain access to domestic debt markets. Investors will still price in execution risk around the post-control-change transition.

Tata Capital Housing Finance

NCD ALLOTMENT

Allotted non-convertible debentures.

Incremental NCD issuance indicates continued reliance on market borrowings to fund disbursements. Competitors should expect sustained pricing competition if funding remains available at attractive spreads.

Bajaj Finserv Home Loans

PRIVATE PLACEMENT

Allotted secured redeemable NCDs via private placement.

Private placement funding can provide quick balance-sheet capacity and flexibility on tenor and covenants. This can support faster turnaround times in origination, pressuring peers on service levels and pricing.

Shriram Housing Finance

PRIVATE PLACEMENT

Allotted non-convertible debentures on a private placement basis.

Additional debt capacity can support growth in mass-market segments where disbursement velocity is critical. The market will track whether funding costs remain aligned with asset yields as competition stays intense.

Aditya Birla Housing Finance

NCD ALLOTMENT

Allotted non-convertible debentures.

NCD issuance strengthens liquidity for incremental disbursements and refinancing. Peers should watch for any shift toward longer-tenor liabilities to protect margins in a flat-rate environment.

Cholamandalam Investment & Finance

LISTED NCD

Confirmed allotment of 50,000 units of secured listed redeemable rated NCDs on 5 May 2026.

Listed NCD issuance signals steady investor appetite and supports predictable funding for growth. This can keep competitive pressure elevated in secured lending where scale players can price tightly.

Growth without strain — yet. Disclosure depth keeps rising.

Affordable-housing peers continued to print clean credit metrics through fast growth. Two L&T disclosures (BRSR and integrated report) and an ABHFL tax-litigation update flag the rising bar on transparency.

Home First Finance

EARNINGS

Q4 profit of ₹150 cr, up 43% YoY, with 25% AUM growth and stable asset quality.

Strong growth alongside stable credit metrics suggests underwriting and collections are holding up in its target segments. Competitors should expect continued expansion in affordable and near-prime geographies where branch execution and analytics drive outcomes.

HDFC Ltd

REGULATORY APPROVAL

RBI approved HDFC Bank's investment in ICICI Bank and Kotak Mahindra Bank.

The approval reflects ongoing regulatory oversight of bank investment permissions and governance processes. Large lenders may face closer scrutiny on capital deployment decisions and compliance documentation.

L&T Finance Housing

DISCLOSURE • BRSR

Filed its Business Responsibility and Sustainability Report.

BRSR disclosures increase transparency on ESG governance and operational practices. Over time, stronger reporting can influence lender perception among institutional investors and debt-market participants.

L&T Finance Housing

ANNUAL REPORT

Released its integrated annual report for FY 2025-26.

Integrated reporting can sharpen stakeholder focus on risk management, capital allocation, and sustainability metrics. Peers may need to match disclosure depth as investor expectations rise.

Aditya Birla Housing Finance

TAX LITIGATION

Disclosed an update on tax litigation.

Tax matters can create earnings volatility through provisions or contingent liabilities. Competitors will monitor whether litigation outcomes affect capital planning or dividend capacity at the group level.

A busy fortnight for the C-suite.

COO additions, CBO transitions, independent-director onboarding and a notable loss at LIC HFL — the leadership table shifted across half a dozen peers.

LIC Housing Finance

COO · APPOINTMENT

Appointed **Sandeep Kumar** as Chief Operating Officer, effective 13 May 2026.

A COO appointment can tighten execution across sales, operations, and collections at scale. The market will watch for changes in turnaround times, cost discipline, and branch productivity as competition stays price-led.

LIC Housing Finance

IN · MEMORIAM

Dr. **Sanjay Dayal** passed away, effective 9 May 2026.

Leadership transitions can temporarily slow decision-making and execution cadence. Investors and counterparties typically look for clear succession clarity and continuity in risk controls.

Aavas Financiers

CBO · EXIT

Chief Business Officer **Selvin Uthaman** resigned, effective 1 May 2026.

A senior business exit can affect near-term distribution momentum and field execution in affordable housing finance. Competitors may attempt to capture share in overlapping micro-markets during the transition.

Aavas Financiers

CBO · BACKFILL

Moved **Ripudaman Bandral** into the Chief Business Officer role, effective 2 May 2026.

Rapid backfilling reduces disruption risk and signals continuity in frontline priorities. The key watchpoint is whether productivity and sourcing quality remain stable through the handover.

Home First Finance

BOARD · INDEPENDENT DIRECTOR

Appointed **Geeta Dutta Goel** as Non-Executive Independent Director, effective 1 Nov 2026.

Board refresh can strengthen oversight as the company scales and faces tighter supervisory expectations. Independent director additions often precede sharper focus on audit, risk, and governance committees.

Home First Finance

BOARD · INDEPENDENT DIRECTOR

Appointed **Anuj Srivastava** as Non-Executive Independent Director, effective 1 Nov 2026.

Additional independent oversight can support governance resilience during high growth. Peers should expect continued investor emphasis on board depth and committee effectiveness in affordable HFCs.

Tata Capital Housing Finance

CBO · SYNDICATION & STRUCTURED FINANCE

Appointed **Sandeep Suhasaria** as CBO for Syndication, Structured Finance and Large Corporate, effective 11 May 2026.

A dedicated leadership role for syndication and structured finance can expand large-ticket origination and partnership-led sourcing. This may increase competition for developer and corporate-linked mortgage opportunities where structuring capability matters.

Three signals to carry into the next fortnight.

01

Pricing discipline becomes a margin story.

Competitive home-loan pricing is limiting near-term repricing upside, making mix, fees, and cost discipline critical to protect margins.

02

Cheap funding, fragile tenor.

Easier bond conditions are improving funding access, but shorter-tenor borrowing increases refinancing and ALM execution risk.

03

Governance is the cycle's tax.

RBI enforcement and clean-up actions are keeping governance and compliance at the forefront, with penalties and exits raising scrutiny across the sector.

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NEXT EDITION

Fortnight ending
31 May 2026

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